

WHEN TATA STARBUCKS, a joint venture between Tata Consumer Products and Starbucks Corporation, opened its first Indian store in Mumbai in

2012, the iconic American brand promised to pioneer a new coffee-drinking culture in a country where the hot brew of choice has always been tea—a sweet, milky concoction sometimes spiced with cloves, cardamom and cinnamon, depending on local tastes.

Thirteen years and some 487 stores later, the ride hasn't been smooth for the Seattle-based giant that has set itself the target of 1,000 outlets in the world's most populous nation by 2028.

Its operating revenue grew 12% from a year ago to ₹1,218.06 crore in the financial year ended March 2024. The venture made a loss of nearly ₹80 crore in the year, a more than three-fold jump from nearly ₹24.97 crore the year prior.

That's already prompting some analysts to question whether Starbucks is losing its mojo in a market where symbolised not just premium coffee, but a lifestyle upgrade for an aspirational India. Free WiFi alone is not enough to attract consumers.

CEO Sushant Dash is resilient in the face of competition heating up. Dash also has a major milestone to mark: the opening of the 50th Starbucks outlet and first drive-thru store in the southern Indian city.

"There's no rocket science here," says Dash, who is casually dressed in jeans and a round-neck tee, with the ease of someone who knows his morning caffeine fix. "If more people come to the store and we deliver value efficiently, we'll be profitable." Dash took the reins at Starbucks in 2021.

Dash has more irritants than a delayed flight to worry about. Premium Indian coffee chains such as Blue Tokai and Third Wave Coffee Roasters are upping their game, offering artisanal brews, thoughtfully designed outlets and sharp branding so much so that the premium Starbucks once commanded is now under scrutiny.

"Indian coffee brands are really stepping up now—they're no less than Starbucks in any way," says Satish Meena, principal

analyst at Datum Intelligence.

"If you look at their stores, the quality of products, and even the pricing, you'll see they're either lower (price) or at par. Usually, when a foreign brand enters India, a couple of copycats pop up, but they won't quite match up. That's not the case anymore," says Meena.

For Starbucks, the path to profitability may call for a recalibration, perhaps, of value, variety and even vibe.

Blue Tokai and Third Wave are attracting cost-conscious Gen Zers with cheaper, trendier options. Even so, Tata Starbucks is doubling down—testing drive-thrus of the Bengaluru kind in other locations, hyper-local menus, and expansion to Tier II cities to protect its market share.

People familiar with the situation say there have been internal debates over pricing cuts and the brand's famed franchise models. Can Tata Starbucks brew a turnaround, or will its aggressive growth dilute the brand further?



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TRANSFORMING A NICHE INDULGENCE

In India—a country where tea has long reigned supreme—coffee was once a niche indulgence, an occasional treat reserved for airport lounges or terminals. Over the past

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